

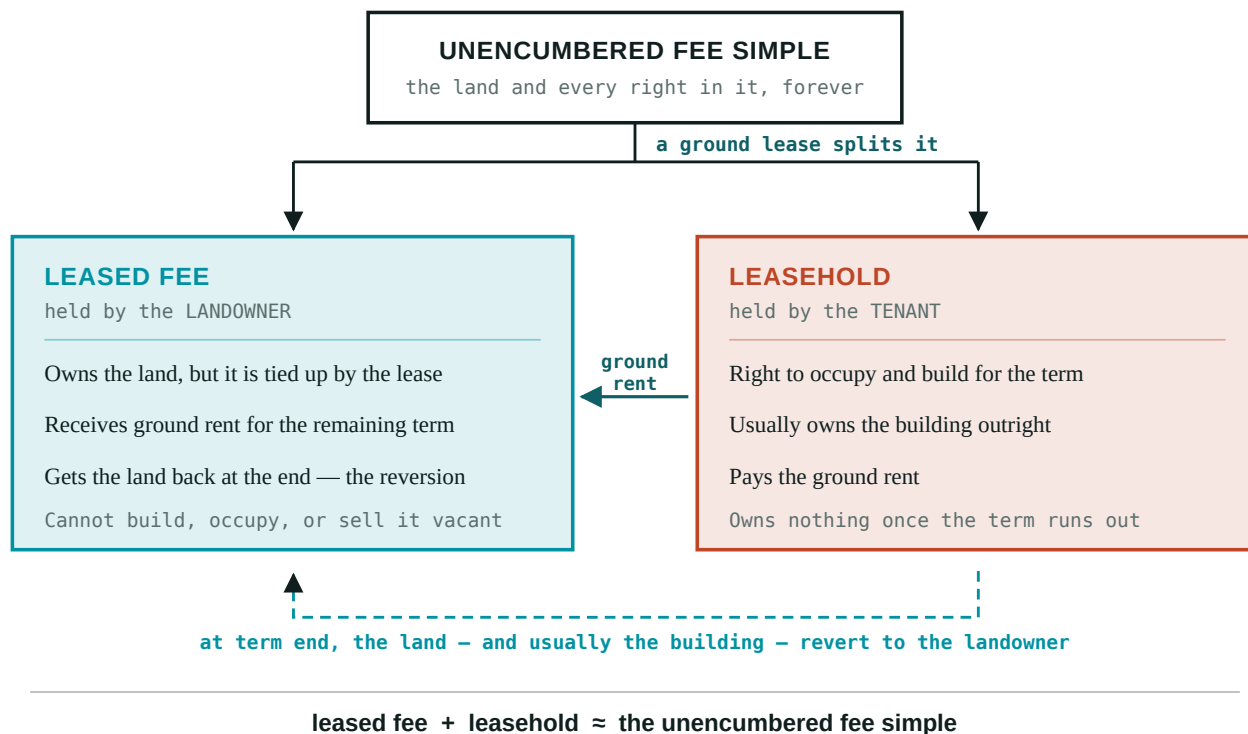
The ground lease split

Fee simple, leased fee, leasehold. Three words for what happens when one piece of Waikiki dirt gets cut into two separately-owned, separately-priced assets — and how to turn a leased-fee sale price into the fee simple number you actually want.

01

One piece of land, two owners

A ground lease doesn't transfer land. It splits ownership of it into two halves that are bought and sold independently, often decades apart.



The two halves are separate assets with separate buyers. At the ‘Alohilani, Commerz Real bought a majority stake in the *leasehold* for about \$515M around 2017; Safehold bought the *leased fee* for \$195M in 2019. Same resort, two transactions, two years apart.

IF YOU BUY...	YOU GET	YOU DO NOT GET	WAIKIKI EXAMPLE
Fee simple unencumbered	Everything. Land, forever, free of any lease. Build, hold, or sell as you like.	—	No verified sale in the district in the last ten years.
Leased fee	The land, plus a rent cheque and a reversion date. An income asset.	Possession. You cannot develop the site until the lease ends.	All four primary comps: Royal Hawaiian, ‘Alohilani, Hilton Waikiki Beach, BOH Center.
Leasehold	Use of the site and the building on it, for a finite number of years.	The land. And it all ends on a date certain.	Hyatt Regency (\$756M, 2016), Aston Waikiki Beach (\$200M, 2018).

Hawaii has an unusually concrete convention here, and it is the hinge of the whole calculation.

In Hawaii ground-rent renegotiation arbitrations, appraisers have for more than two decades applied the same annual rate of return to arrive at fair market ground rent:

8% of the land's value. That convention gives you a two-way bridge.

market ground rent = **land value** × **8%**

land value = market ground rent ÷ **8%**

— the Hawaii arbitration convention; the rate is contested, but it is what practice has used

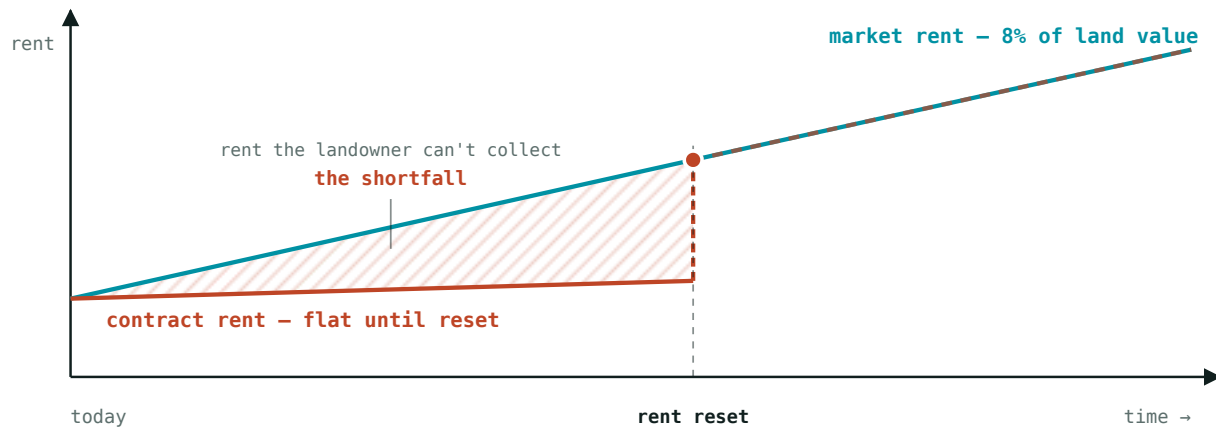
So if you can find out what a Waikiki parcel's ground rent resets to, you can back into what an arbitrator thought the land was worth. And if you know the land value, you know roughly what a market-rate ground rent on it should be. Under HRS §519-1, though, there is a catch worth knowing: when a lease provides for renegotiation at fair market value, that value is calculated on **the use the lease restricts the land to** — not its highest and best use. A lease that limits the site to apartment use caps the rent even where hotel use would be worth far more.

WHY RESETS MATTER MORE THAN ANYTHING ELSE

Waikiki ground leases typically renegotiate rent every 10 to 15 years. The swings are violent: one Waikiki hotel ground rent went from \$187,000 a year to over \$3.5 million in a single arbitration. Whether — and when — a lease resets to market is the difference between a leased fee that tracks land value and one that is frozen out of it.

Why leased fee isn't fee simple

One reason, and it is measurable: the gap between the rent the lease actually pays and the rent the land could command.



Everything the landowner loses sits in the hatched wedge — and only until the reset, because after that the contract rent is market rent again. The present value of that wedge is the discount from fee simple to leased fee. A lease resetting in three years barely discounts at all; one fixed for ninety years discounts enormously.

leased fee = **fee simple** - $PV(\text{market rent} - \text{contract rent})$ over the years until the next reset

– and therefore, running it backwards, which is what you want:

fee simple = leased-fee price $\div (1 - \text{discount})$

Three consequences worth carrying around:

- **Contract rent at market** → **leased fee** $\approx$ **fee simple**. There is no shortfall, so the two converge. A leased-fee price is then a fair read on land value.
- **Contract rent below market** → **leased fee is worth less**. How much less depends almost entirely on how long until the reset, not on the size of the gap alone.
- **Short remaining term** → **leased fee can exceed today's land value**. Because the landowner gets the land back soon, and usually the building with it, for nothing.

Convert a leased-fee comp to fee simple

Pick a comp, set what you believe about its lease, and read the fee simple equivalent. The two lease assumptions are the whole calculation — which is exactly why §09 of the main study puts "read the ground lease" third on the list.

LEASED-FEE COMPARABLE

Hilton Waikiki Beach · \$78.0M

55,321 sf. Third-party leased-fee sale by Queen Lili‘uokalani Trust. Lease terms not published.

CONTRACT RENT BELOW MARKET0%

YEARS UNTIL RENT RESETS10 yrs

DISCOUNT RATE7.0%

IMPLIED FEE SIMPLE LAND VALUE

LEASED FEE PAID	FEE SIMPLE EQUIVALENT	UPLIFT
\$78.0M	\$78.0M	+0%
\$1,410/sf	\$1,410/sf	over the leased-fee price

Leased fee 100%

share of the unencumbered fee

leased fee = 100% of fee simple

Contract rent is assumed to be at market, so there is no shortfall and the leased-fee price is already the fee simple value. This is the neutral starting position.

READ THE DEFAULT BEFORE YOU TRUST THE OUTPUT

The converter opens at **0% below market**, which returns the leased-fee price unchanged. That is deliberate: it is the honest starting position when you have not read the lease. Every dollar of uplift above that comes from *your assumption* about the rent gap, not from evidence in the comp set. Move the sliders to test sensitivity — not to manufacture a number.

05

Your four comps, re-read

Which of them is closest to a fee simple signal, and which is furthest.

COMP	\$/SF	WHAT THE LEASE DOES TO THE NUMBER	CLOSENESS TO FEE SIMPLE
BOH Waikiki Center Mar 2026	\$2,000	The lessee bought its own fee . When that happens the lease <i>merges</i> and is extinguished — the buyer walks away holding unencumbered fee simple. But a tenant escaping its own rent will pay a premium no third party would.	Closest . Effectively a fee-simple price, inflated by marriage value. Treat as a ceiling.
Hilton Waikiki Beach Aug 2019	\$1,410	Straightforward leased-fee sale to a third party. Lease terms not published.	Usable once you read the lease. Adjust up if rent is below market.
Royal Hawaiian Nov 2025	\$1,137	Leased fee under Kyo-ya's long-term ground lease. Daisho bought a rent stream on a landmark it can never occupy.	Usable , but the size discount is doing more to this number than the lease is.
'Alohilani Sep 2019	\$1,791	Safehold bought the ground <i>and immediately replaced the lease</i> with its own 99-year form — CPI escalators with caps around 3.0–3.5%, and no fair-market resets . Eight to nine CPI lookbacks over the term.	Furthest . This is a bond, priced to a ground-lease REIT's yield target, not a developer's view of Waikiki dirt.

THE ONE THAT MATTERS MOST FOR YOU

If you want a fee-simple read, **the Bank of Hawaii transaction is the most informative comp in the entire study** — because the lease died at closing and the buyer ended up with clean, unencumbered fee simple land. At \$2,000/sf it is the top of the range, and part of that is a tenant paying to escape its own ground rent. A reasonable fee-simple reading of a small Kalakaua parcel therefore sits somewhere *below* \$2,000/sf but *above* the third-party leased-fee comps — call it \$1,600–1,900/sf, and label it an inference rather than a measurement, because that is what it is.

06

What this means for your project

"Fee simple only" cannot be a filter here — it has to be a conversion. Screen the comp set down to unencumbered fee sales and you are left with nothing to work from. The four leased-fee sales are the evidence Waikiki actually produces, and the job is to adjust them, transparently, rather than discard them.

Two questions decide everything downstream, and both are answerable from public records:

- **Is your target parcel itself fee simple, or is it encumbered by a ground lease?** If a lease exists, you are not buying land — you are buying either the rent stream or the remaining term, and the price you should pay is a completely different calculation.
- **For each comp, what is the contract rent and when does it reset?** That single pair of facts converts every number in the main study from leased fee to fee simple. Both are in the recorded lease or memorandum of lease at the Bureau of Conveyances.

IF YOUR PARCEL IS FEE SIMPLE ALREADY

Then you are in the stronger position of the two, and the leased-fee comps understate what you hold — by the size of whatever rent shortfall encumbers them. Use the converter above with a modest below-market assumption to see the direction and magnitude, then get the leases pulled to replace the assumption with a fact.

The Ground Lease Split · companion note to the Waikiki Land Basis Study · compiled 19 August 2026

Explanatory material and a sensitivity tool, not an appraisal and not legal or tax advice. The 8% land return is a Hawaii arbitration convention, not a rule of law, and it is contested. Lease terms for the individual comps are not public except where noted – every conversion above rests on assumptions you supply.